ENTREPRENEURSHIP & START-UP MANAGEMENT

MODULE 1 — INTRODUCTION TO ENTREPRENEURSHIP

Easy-to-understand study notes • Key definitions • Examples • Exam-ready answers

Prepared from the provided Module 1 PPT, organised for revision and exam preparation.

How to Use These Notes

Learn the definition and headings first. Then understand each explanation and example. For a typical 5-mark answer, write a short definition, explain 4–6 points, add an example where useful, and finish with a one-sentence conclusion. Follow your teacher's specific instructions if they differ.

Contents

1. Definition of Entrepreneurship
2. Characteristics and Qualities of Entrepreneurs
3. Importance of Entrepreneurship in the Economy
4. Types of Entrepreneurs
5. Business Idea, Feasibility, Viability and SWOT
6. Business Models
7. Forms of Business Ownership
8. Intellectual Property Rights (IPR)
9. Important Differences for Revision
10. Quick Revision Sheet
11. Important Questions to Prepare

1. Definition of Entrepreneurship

Meaning

Entrepreneurship is the process of identifying a business opportunity, developing an idea, arranging resources, taking calculated risks, and starting or developing a business to create value.

Simple example: You notice that students struggle to find affordable study notes. You create a website for notes, arrange the required resources, launch it, collect feedback, and improve it. The whole process is entrepreneurship.

Main Characteristics

1. Opportunity recognition: Identifying a problem or an unmet customer need.
2. Innovation: Introducing new products, services, processes, or business models.
3. Risk-bearing: Accepting the possibility of loss after considering the risks.
4. Resource organisation: Arranging money, people, equipment, and technology.
5. Value creation: Providing useful products or services and generating economic or social benefits.
6. Continuous development: Learning from experience and improving the business.

Entrepreneur vs Entrepreneurship

Entrepreneur	Entrepreneurship
The person who starts or develops a business venture.	The process of identifying opportunities and building a venture.
Example: Falguni Nayar.	Example: Identifying a market gap and building Nykaa to address it.

Example from the PPT: Nykaa

The PPT describes Falguni Nayar identifying a gap in India's organised beauty-product market. Nykaa combined online shopping, authorised brand partnerships, content-led marketing, and later physical stores. This illustrates opportunity recognition, innovation, risk-taking, and value creation.

Exam-ready answer: Define entrepreneurship and explain its characteristics

Entrepreneurship is the process of identifying business opportunities, arranging resources, taking calculated risks, and establishing a business to create value. Its main characteristics are opportunity recognition, innovation, risk-bearing, resource organisation, value creation, and continuous development. Thus, entrepreneurship transforms ideas into useful and economically valuable ventures.

2. Characteristics and Qualities of Entrepreneurs

An entrepreneur identifies a business opportunity, organises resources, takes calculated risks, and establishes or develops a venture. The PPT presents eight important characteristics.

1. Need for achievement: Sets challenging but realistic goals and works to achieve them. Example: A student aims to get 1,000 users for an app.
2. Calculated risk-taking: Studies costs, benefits, and possible outcomes before making a decision. Example: Researching demand and expenses before opening a café.
3. Innovative and creative thinking: Finds new ideas or better ways to solve problems. Example: Using an app to connect passengers and drivers.
4. Self-confidence and internal locus of control: Believes actions and decisions can influence outcomes and accepts responsibility.
5. Perseverance and resilience: Continues despite difficulties and learns from setbacks.
6. Vision and strategic thinking: Vision is the future goal; strategy is the plan to reach it.
7. Leadership and people skills: Guides, motivates, and coordinates people towards shared goals.
8. Learning orientation and adaptability: Learns from customers, mistakes, and market changes, and adjusts when needed.

Are entrepreneurs born or made?

The PPT presents entrepreneurship as a mix of natural tendencies and learned abilities. Some people may naturally be confident or creative, while leadership, planning, communication, and risk assessment can be developed through learning and experience.

Exam-ready answer: Explain the characteristics of a successful entrepreneur

A successful entrepreneur demonstrates: (1) need for achievement, (2) calculated risk-taking, (3) innovation, (4) self-confidence, (5) perseverance, (6) vision and strategic thinking, (7) leadership, and (8) learning orientation and adaptability. These qualities help entrepreneurs identify opportunities, overcome challenges, and develop their businesses.

3. Importance of Entrepreneurship in the Economy

Entrepreneurship contributes to economic and social development in eight major ways.

1. Employment generation: Creates direct jobs and indirect opportunities for suppliers and service providers. Example: A restaurant hires cooks, waiters, and delivery staff.
2. Contribution to GDP and national income: Businesses produce goods and services, increasing economic activity.
3. Innovation and technological progress: Introduces new products, technologies, and methods. Example: Digital payment services.
4. Regional development: Creates jobs and business opportunities in smaller towns and rural areas.
5. Optimum use of local resources: Uses local raw materials, skills, and labour productively. Example: Turning local milk into dairy products.
6. Improvement in standard of living: Provides useful goods and services and may improve affordability and convenience.
7. Export promotion and foreign exchange: Helps businesses sell internationally and earn foreign currency.
8. Social change and empowerment: Creates opportunities for women and disadvantaged communities and supports solutions to social problems.

Quick revision table

Importance	Main idea
Employment generation	Creates jobs
GDP and national income	Increases economic production
Innovation	Develops new ideas and technology
Regional development	Creates opportunities beyond major cities
Resource utilisation	Uses local resources productively
Standard of living	Improves access to useful goods and services
Export promotion	Earns foreign exchange
Social empowerment	Supports inclusion and social development

Exam-ready answer

Entrepreneurship is important because it generates employment, contributes to GDP and national income, encourages innovation, promotes regional development, uses local resources productively, improves living standards, supports exports, and empowers disadvantaged communities. Therefore, it contributes to economic growth and social progress.

4. Types of Entrepreneurs

Danhof's Classification

1. Innovative entrepreneur: Introduces new products, technologies, or business methods. Example: Developing a new energy-storage technology.
2. Imitative/adoptive entrepreneur: Adopts and adapts an existing successful idea for a new market. Example: Starting a similar service in a city where it is not yet available.
3. Fabian entrepreneur: Adopts new methods cautiously, usually after becoming convinced of their usefulness.
4. Drone entrepreneur: Resists change even when existing methods become ineffective.

Memory trick: Innovative = creates; Imitative = adopts; Fabian = cautious; Drone = resists change.

Other Classifications

By scale

Micro, small, medium, and large businesses are classified by size. The first three categories fall under India's MSME framework, using applicable investment and turnover criteria.

By ownership

- Private enterprise: Owned by private individuals or companies.
- State enterprise: Owned or controlled by the government.
- Joint venture: Created through cooperation between two or more parties.

Women entrepreneurs

Women who establish, own, or manage business ventures. The PPT gives Nykaa, Mamaearth, and Sugar as examples.

Social entrepreneurs

Entrepreneurs who primarily seek to solve social or environmental problems, using business methods to achieve impact. The PPT gives Goonj, Barefoot College, and SELCO India as examples.

SELCO India case study

The PPT describes SELCO India as a venture founded by Harish Hande to provide solar lighting to underserved communities. It combined solar technology with financing arrangements to help households access solar energy. It illustrates social entrepreneurship because commercial methods are used to address a social need.

Exam-ready answer: Danhof's classification

According to Danhof's classification, entrepreneurs are innovative, imitative, Fabian, or drone. Innovative entrepreneurs introduce new ideas; imitative entrepreneurs adapt proven ideas; Fabian entrepreneurs adopt changes cautiously; and drone entrepreneurs resist change even when it harms competitiveness.

5. Business Idea, Feasibility, Viability and SWOT

Business idea

A business idea is a proposed product, service, or activity intended to satisfy a customer need or solve a problem. Example: A mobile app that helps college students organise notes and deadlines.

Five methods of generating business ideas

1. Brainstorming: Generate many ideas without immediately judging them; evaluate them afterwards.
2. Observation and market gaps: Watch customers and identify needs that existing products do not meet.
3. SCAMPER: A structured way to improve an existing idea.
4. Trend analysis: Study changes in technology, society, and customer behaviour to find opportunities.
5. Solving your own problem: Turn a problem you personally experience into a possible solution.

SCAMPER explained

Letter	Meaning	Question
S	Substitute	What can be replaced?
C	Combine	What can be joined together?
A	Adapt	What can be adjusted for a new use?
M	Modify	What can be changed or improved?
P	Put to another use	Can it be used differently?
E	Eliminate	What can be removed?
R	Reverse	What happens if the order or approach is reversed?

Feasibility study: Can we do it?

A feasibility study evaluates whether a business idea can be implemented using available resources.

Type	Main question
Technical	Do we have the technology, equipment, and skills?
Operational	Can we run the business effectively every day?
Legal	Does the business comply with relevant laws and rules?
Financial	Can we afford to start and operate it?

Viability analysis: Should we do it?

Viability analysis evaluates whether a business can survive and succeed over time.

1. Market size: Are there enough potential customers?
2. Competition: What alternatives exist, and why would customers choose this business?
3. Unit economics: Does each sale or customer generate enough revenue relative to its costs?
4. Scalability: Can the business grow without costs increasing at the same rate as revenue?

Feasibility vs Viability

Feasibility	Viability
Can the idea be implemented?	Can the business survive and succeed?
Focuses on resources, technology, operations, legality, and funding.	Focuses on market demand, competition, unit economics, and scalability.

A business idea can be feasible but not viable. For example, you may be able to develop an app, but if very few customers need it, the business may not be sustainable.

SWOT analysis

Letter	Meaning	Explanation
S	Strengths	Internal advantages
W	Weaknesses	Internal limitations
O	Opportunities	External conditions the business can benefit from
T	Threats	External conditions that may harm the business

Example: A student-notes app may have the strength of understanding student needs, the weakness of limited funds, the opportunity of growing demand for digital learning, and the threat of established competitors.

Exam-ready answer: Feasibility and viability

Feasibility determines whether an idea can be implemented, considering technical, operational, legal, and financial factors. Viability determines whether the business can survive and succeed, considering market size, competition, unit economics, and scalability. Feasibility asks 'Can we do it?' while viability asks 'Should we do it?' Both should be assessed before investing significant resources.

6. Business Models

Meaning

A business model explains how a business creates value for customers, delivers that value, and earns revenue. It answers: Who are the customers? What value is offered? How is it delivered? How does the business earn money?

Eight business-model categories

1. B2C — Business to Consumer

A business sells directly to individual consumers. Example: A clothing company selling T-shirts through its website. Strength: direct customer relationships. Challenge: marketing and customer acquisition costs.

2. B2B — Business to Business

A business sells products or services to another business. Example: An accounting software company selling to a manufacturer. Strength: potential long-term contracts. Challenge: sales may take time.

3. B2B2C — Business to Business to Consumer

A business reaches consumers through another business. Example: A payment technology provider enables an online store to accept customer payments.

4. SaaS — Software as a Service

Software is provided over the internet, often through a subscription. Example: Cloud-based project-management software. Strength: central updates and potential recurring revenue. Challenge: customers may cancel.

5. Subscription

Customers pay a recurring fee, such as monthly or annually, to continue accessing a service. Example: A paid streaming service.

6. Marketplace

A platform connects buyers and sellers and may earn commissions or fees. Example: A platform connecting customers with service providers. Challenge: attracting both buyers and sellers.

7. Freemium

Basic features are free, while advanced features require payment. Example: A productivity app with free task management and paid team features.

8. D2C — Direct to Consumer

A brand sells directly to consumers without traditional intermediaries. Example: A skincare brand selling through its own website. Strength: direct customer relationships. Challenge: marketing, delivery, and customer service.

B2B vs B2C

B2B	B2C
Sells to other businesses.	Sells to individual consumers.
Example: Payroll software sold to a company.	Example: Clothes sold to customers.

Subscription vs Freemium

Subscription	Freemium
Users pay a recurring fee for access.	Basic features are free; premium features are paid.
Example: Paid streaming subscription.	Example: App with a free version and paid upgrades.

Note: These categories can overlap. For example, a SaaS product may use a subscription or freemium pricing model.

Exam-ready answer: Types of business models

Major business-model categories include B2C (selling to consumers), B2B (selling to businesses), B2B2C (reaching consumers through another business), SaaS (software delivered online), subscription (recurring payment), marketplace (connecting buyers and sellers), freemium (free basic and paid advanced features), and D2C (selling directly to consumers). A business selects a model according to its customers, product, costs, and revenue objectives.

7. Forms of Business Ownership

A form of business ownership is the legal structure under which a business is established and operated. It affects ownership, liability, funding, and legal responsibilities.

Eight forms of business ownership

Sole proprietorship

Meaning: Owned and controlled by one individual.
Key points: Easy to start and offers direct control; the owner generally has unlimited personal liability.
Suitable for: Small shops, freelancers.

Partnership

Meaning: Two or more people agree to conduct business and share profits.
Key points: Partners can pool skills and money; traditional partners generally have unlimited personal liability.
Suitable for: Small businesses and professional firms.

Limited Liability Partnership (LLP)

Meaning: A partnership structure with limited liability for partners.
Key points: Flexible management and a separate legal identity; compliance applies.
Suitable for: Consultancies and professional services.

One Person Company (OPC)

Meaning: A company established with one member and a separate legal identity.
Key points: Limited liability, subject to law; company compliance applies.
Suitable for: Solo entrepreneurs wanting a company structure.

Private Limited Company

Meaning: A company with shareholders and a separate legal identity.
Key points: Suitable for private equity investment; greater compliance and administration.
Suitable for: Growing startups.

Public Limited Company

Meaning: A company that can raise capital from the public under applicable rules.
Key points: Access to a wider investor base; extensive compliance.
Suitable for: Large businesses and companies seeking public capital.

Cooperative society

Meaning: Owned and democratically controlled by members for common needs.
Key points: Encourages cooperation; conventional equity funding may be limited.
Suitable for: Producer, farmer, or consumer groups.

Section 8 company

Meaning: Company formed for qualifying charitable or social objectives.
Key points: Profits must be applied to its objectives; dividends cannot be distributed to members.
Suitable for: Charitable and social organisations.

Comparison at a glance

Form	Ownership	Main purpose
Sole proprietorship	One individual	Simple individually owned business
Partnership	Two or more partners	Shared ownership
LLP	Partners	Flexible structure with limited liability
OPC	One member	Company structure for one owner
Private Ltd	Shareholders	Growth and private investment
Public Ltd	Shareholders	Access to public capital
Cooperative	Members	Common member interests
Section 8	Members	Charitable or social objectives

How to choose a form

- Number of owners.
- Required liability protection.
- Capital and investment needs.
- Desired level of control.
- Compliance and administration capacity.
- Commercial, cooperative, charitable, or social objectives.

Exam-ready answer: Forms of business ownership

The main forms are sole proprietorship, partnership, LLP, OPC, private limited company, public limited company, cooperative society, and Section 8 company. They differ in ownership, liability, funding opportunities, control, and legal responsibilities. The appropriate form depends on the number of owners, capital needs, desired liability protection, business objectives, and compliance requirements.

8. Intellectual Property Rights (IPR)

Meaning

Intellectual Property Rights are legal rights that protect creations of the human mind, such as inventions, brand identities, creative works, product designs, and certain confidential business information.

Example: An app's name may be protected by a trademark; original source code may be protected by copyright; a qualifying technical invention may be patentable.

Main types of IPR

1. Patent

Protects qualifying inventions that meet legal requirements. The ordinary patent term in India is 20 years from the filing date. Example: A qualifying new machine or technical process.

2. Trademark

Protects distinctive signs such as brand names and logos. In India, a registered trademark is generally valid for 10 years and can be renewed repeatedly.

3. Copyright

Protects original creative expression, including books, music, films, photographs, and software code. Copyright generally arises automatically for qualifying works; duration depends on the type of work.

4. Industrial design

Protects qualifying visual features of an article, such as shape, configuration, pattern, or ornamentation. In India, registration initially lasts 10 years and may be extended by five years.

5. Geographical Indication (GI)

Identifies goods whose quality, reputation, or other characteristic is essentially linked to a geographical origin. Examples include Darjeeling Tea and Kanchipuram Silk.

6. Trade secret

Valuable business information kept confidential, such as recipes, manufacturing methods, or non-public strategies. Businesses use secrecy measures and confidentiality agreements; no ordinary registration is required.

Difference between main IPR types

Type	Protects	Example
Patent	Qualifying invention	New technical process
Trademark	Brand identity	Brand name or logo
Copyright	Original creative expression	Software code or book
Industrial design	Product appearance	Distinctive ornamental shape
GI	Geographical origin-linked goods	Darjeeling Tea
Trade secret	Confidential business information	Secret recipe

Importance of IPR

1. Protects qualifying inventions and creative work.
2. Helps businesses protect brand identity.

3. Can create valuable business assets.
4. Provides legal tools to defend intellectual creations.
5. May support investment and commercialisation.
6. Helps preserve confidential business information.

Basic steps for founders

1. Identify the intellectual property the business creates.
2. Determine the relevant type of protection.
3. Search for existing rights where relevant.
4. Apply for registration when required or beneficial.
5. Keep confidential information secure.
6. Monitor and enforce rights where necessary.

Basmati rice patent case in the PPT

The PPT describes a dispute involving RiceTec's US patent claims related to basmati-type rice lines and grains. India challenged aspects of the patent, and a number of claims were subsequently withdrawn or rejected. The example illustrates why intellectual property protection can matter to regional products and industries.

Exam-ready answer: Types of IPR

The main types of IPR are patents (qualifying inventions), trademarks (brand identity), copyright (original creative expression), industrial designs (product appearance), Geographical Indications (goods linked to a geographical origin), and trade secrets (valuable confidential information). IPR helps entrepreneurs protect innovation, build brands, preserve business value, and compete in the market.

9. Important Differences for Revision

Entrepreneur vs Entrepreneurship

Entrepreneur	Entrepreneurship
Person who starts or develops a venture.	Process of identifying opportunities and developing a venture.

Feasibility vs Viability

Feasibility	Viability
Can the idea be implemented?	Can the business survive and succeed?
Resources, technology, operations, legal and financial factors.	Market demand, competition, unit economics and scalability.

Innovative vs Imitative entrepreneur

Innovative	Imitative
Introduces new ideas or methods.	Adopts and adapts existing ideas.

B2B vs B2C

B2B	B2C
Business sells to another business.	Business sells to individual consumers.
Example: Software sold to a company.	Example: Clothes sold to customers.

Sole proprietorship vs Partnership

Sole proprietorship	Partnership
Owned by one individual.	Owned by two or more partners.
Owner generally has unlimited personal liability.	Traditional partners generally have unlimited personal liability.

Patent vs Copyright

Patent	Copyright
Protects qualifying inventions; application and grant are required.	Protects original creative expression; generally arises automatically.
Ordinary Indian term: 20 years from filing.	Duration depends on the category of work.

10. Quick Revision Sheet

Topic	What to remember
Entrepreneurship	Opportunity + resources + calculated risk + value creation
Entrepreneur	Person who establishes or develops a venture
Entrepreneur characteristics	Achievement, risk-taking, creativity, confidence, perseverance, vision, leadership, adaptability
Importance	Employment, GDP, innovation, regional development, resource use, living standards, exports, social empowerment
Danhof's types	Innovative, Imitative, Fabian, Drone
Idea generation	Brainstorming, observation, SCAMPER, trend analysis, personal problems
Feasibility	Can we implement it?
Viability	Can it survive and succeed?
SWOT	Strengths, Weaknesses, Opportunities, Threats
Business models	B2C, B2B, B2B2C, SaaS, Subscription, Marketplace, Freemium, D2C
Ownership forms	Sole proprietorship, Partnership, LLP, OPC, Private Ltd, Public Ltd, Cooperative, Section 8
Patent	Invention
Trademark	Brand identity
Copyright	Creative expression
Industrial design	Product appearance
GI	Geographical origin
Trade secret	Confidential business information

11. Important Questions to Prepare

Priority 1

1. Define entrepreneurship and explain its characteristics.
2. Explain the eight characteristics of a successful entrepreneur.
3. Explain the importance of entrepreneurship in economic development.
4. Explain Danhof's classification of entrepreneurs.
5. Explain the methods of generating business ideas.
6. Differentiate between feasibility and viability.
7. Explain SWOT analysis.
8. Explain the different types of business models.
9. Explain the different forms of business ownership.
10. Explain the different types of Intellectual Property Rights.

Priority 2

1. Differentiate between entrepreneur and entrepreneurship.
2. Explain social entrepreneurship with an example.
3. Explain the SCAMPER technique with an example.

4. Differentiate between B2B and B2C.
5. Differentiate between subscription and freemium models.
6. Explain the importance of IPR for entrepreneurs.
7. Differentiate between patent, trademark, copyright, and industrial design.

Suggested 5-mark answer structure

1. Write a clear definition in 1–2 sentences.
2. Explain 4–6 main points with short explanations.
3. Add one relevant example when appropriate.
4. Finish with a one-sentence conclusion.

These notes are simplified from the provided Module 1 PPT. Company examples and figures are presented as study context from the slides; verify current facts and legal requirements before using them for real-world decisions.